The low price of Swift & Co.—in relation to the criteria of average earnings, dividends and book value—is a spectacular illustration of the dominating influence of earnings-trend upon stock-market valuations. Clearly the market is going farther here than merely registering a lack of enthusiasm for the company's prospects. Actually, it has been stating in explicit terms that it doubts the ability of the company to earn as much in the future as even the reduced rate of the 1930–1939 decade, that it doubts the continuance of the $1.20 dividend rate, and that it does not believe that the huge tangible investment is of any particular value as an assurance of future earning power.

But we, in turn, must express doubt whether the market's appraisal of Swift actually represents any careful endeavor to weigh future probabilities or to balance the pros and cons in detail. The lack of an expanding demand for meat is a drawback, certainly. But may it not be offset by such factors as (1) the underlying stability and permanence of the packing industry; (2) the tremendous prestige and financial strength of the Swift organization; (3) the consideration that the meat industry has "taken its bath" of Government regulation and that its low profit margin and small earnings on true investment may protect it from political dangers threatening more lucrative industries?

From this viewpoint the Swift example may be said to present a clean-cut test of the validity of current investment attitudes. Our criticism is directed not so much against Wall Street's verdict—which the future may uphold or upset—as against the foreshortening of its analysis. Suppose that Swift were selling at 7, as it did in 1932 and 1933, the philosophy of Wall Street would still condemn its purchase as a commitment in a "declining industry." But it cannot possibly be true that *all* values disappear from a concern once it has ceased to expand. Hence at *some* price a "bad" company like Swift must be a good investment just as at some price a "good" company like Parke, Davis must be a bad investment. (A comparison of the two as of December 1939 should interest the student.) Hence, further, the real business of Wall Street, as an appraiser and advisor on values, should be to determine with care the *relative weight* of the growth factor in the total picture—instead of seeking merely a quick and easy classification of every company on the Judgment-day basis of either eternally blessed or eternally damned.

On the other hand it should be pointed out that the ten-year market record of Swift & Co. is a challenge to its management. It poses problems to be discussed among the directors and with the stockholders. Certainly a management as capable as that of Swift should not be satisfied unless it earns enough on the *tangible* investment alone to support a market value equal thereto. If conditions will not permit this, on the average, then the underlying factors responsible for this disappointing